

trajectory curvature, whereas a negative coefficient indicated concave curvature.

When the authors sorted stocks based on this curvature, they found that the gross returns and three-factor alphas of convex (accelerating upward) positive momentum stocks were significantly higher than the gross returns and alphas of stocks with concave positive momentum. The authors showed that ignoring positive momentum stocks with concave price trajectories is the key to earning higher momentum returns.

Docherty and Hurst (2014) took a similar approach in the Australian stock market using data from 1992 through 2011. They measured the slope of recent performance relative to the 12-month geometric average rate of return. They called this shorter-term relative performance “trend salience.” Doing a double sort on trend salience and traditional momentum, the authors found that the combined approach significantly outperformed traditional momentum. Accelerating momentum as either curvature or trend salience might be effective with stock indexes and other assets, in addition to its use with individual stocks.

FRESH MOMENTUM

In “Fresh Momentum,” Chen, Kadan, and Kose (2009) defined fresh winners as the strongest stocks during the previous 12 months that were relatively weak during the 12 months prior to that. Stale winners, on the other hand, are those stocks that were strongest during both periods. Doing a double sort by quintiles on relative price strength in months 1 through 12 (excluding the most recent month) and months 13 through 24 for U.S. stocks from 1926 through 2006, the authors found that fresh winners outperformed stale winners by 0.43% per month. One could easily apply this fresh momentum approach to stock indexes and other assets, in addition to individual stocks.

GLOBAL BALANCED MOMENTUM